

Sri Lankan VAT + AI — Hackathon

Research Brief

Prepared: 14 September 2026

Purpose: Team briefing on how VAT currently works in Sri Lanka, where the real pain points are, and which AI applications are both impressive and buildable in a hackathon timeframe.

Read this first. Sri Lanka’s VAT rules have moved repeatedly over the past 18 months. Several effective dates have shifted two or three times, and a lot of published commentary — including articles from the last few weeks — still quotes superseded figures. Every number in this doc is flagged with its source and date. Verify anything you hard-code against ird.gov.lk before demo day.

Part 1 — How VAT works in Sri Lanka right now

1.1 Rates and thresholds

Item	Current position	Effective from
Standard VAT rate	18%	1 January 2024
Financial services	20.5%	Taxable periods commencing on or after 1 July 2026
Exports of goods	0% (zero-rated)	—
Registration threshold	LKR 15M per quarter or LKR 60M per 12 months	1 January 2024
Non-resident digital services	18% on B2C supplies via electronic platforms	1 July 2026
Imported fabric	18% (CESS removed)	1 April 2026

Known source conflict — do not get this wrong. Budget 2026 proposed cutting the annual registration threshold from LKR 60M to LKR 36M. Many secondary sources report this as fact. **It did not happen.** The VAT (Amendment) Act No. 14 of 2026, certified by the Speaker on 30 June 2026 and gazetted 3 July 2026, maintained the LKR 60M threshold and dropped the proposed reduction. The IRD confirmed this in notice SEC/PN/VAT/2026-03 (3 July 2026).

Use **LKR 60M**. Cite the Act, not the Budget speech.

1.2 The filing cycle

1. Registrant files monthly or quarterly (depends on the registrant) through **RAMIS e-Services**.
2. **Payment** due by the 20th of the month following the taxable period.
3. **Return** due by the end of that month.
4. Returns are supported by schedules:
 - Schedule 01 — output tax (including exempt supplies)
 - Schedule 03 — imports
 - Schedule 04 — credit and debit notes
 - Schedule 06 — exports
 - Schedule 07 — zero-rated supplies
5. Schedules have historically been uploaded as **Excel/CSV files**, or keyed into the RAMIS e-Service interface.
6. **Input tax credit deadlines:** 12 months for domestic purchases, 24 months for imports. Late filing can result in disallowed credits.

The IRD has stated that late payment, non-compliance or incorrect returns attract penalties with **no waivers or reductions**.

1.3 Change 1 — SVAT is gone, replaced by risk-based refunds

The Simplified VAT (SVAT) scheme was **abolished on 1 October 2025** and replaced by the **Risk-Based Refund Scheme (RBRS)** — the first risk-rating mechanism in Sri Lanka's tax history.

What changed in practice: under SVAT, exporters and their suppliers exchanged credit vouchers rather than cash, so no VAT was paid upfront. Now the full 18% is paid in cash at the point of purchase (a Rs. 100 item costs Rs. 118), and the money is recovered later through a refund claim.

The three risk bands:

Band	Refund treatment
Low	Issued without pre-verification
Medium	Issued without pre-verification, subject to post-verification
High	Issued only after pre-verification

Statutory turnaround: 45 days from the later of (a) the last day of the month after the taxable period expires, or (b) the date a proper return and schedules are furnished.

The catch: KPMG's reading is that exporters with **over 50% zero-rated supplies** get the 45-day window, while those **below 50%** wait up to six months.

Rating is based on compliance behaviour — timely registration, accurate reporting, prompt payment.

1.4 Change 2 — the National e-Invoicing System

Announced by IRD notice on **4 May 2026** under National Budget 2026.

Mechanism: a secure Web API links taxpayer ERP systems directly to RAMIS, transmitting invoice data in real time. Schedules 01, 04 and 07 are pushed automatically; once submitted via API, they don't need re-uploading as CSV.

Rollout phases:

1. Pilot — selected VAT-registered businesses with API-capable ERPs
2. Export-oriented enterprises (garments, tea)
3. All VAT-registered persons
4. B2C via connected POS machines, for real-time transaction recording

Live already: all tea brokers' systems are connected; invoice, credit and debit note records for Colombo Tea Auction supplies have transmitted to RAMIS since **1 May 2026**. Selected garment exporters are also connected.

Target: full Web API integration by **end of 2026**.

Three details that matter for your build:

- Supplier-submitted data **auto-populates the purchaser's schedules**. Purchasers must **review and approve** those records before claiming input tax.
- The IRD intends to **pre-populate import (Schedule 03) and export (Schedule 06) data from Sri Lanka Customs**.
- Manual CSV upload remains the fallback whenever the API fails or a counterparty isn't yet integrated. This hybrid state will persist for a long time.

1.5 Change 3 — the revised tax invoice format (imminent)

- First prescribed under Gazette 2463/05 (17 Nov 2025)
- Revised by **Gazette Extraordinary 2481/22** (27 March 2026), with guidance in Circular SEC/2026/E/03 (20 May 2026)
- Deferred from 1 Jan → 1 April → 1 July → **1 October 2026** (Gazette 2500/106, issued 6 Aug 2026)

From 1 October 2026 it applies to every VAT-registered person issuing tax invoices.

Requirements include:

- Document must read **TAX INVOICE** conspicuously
- Supplier and purchaser **9-digit TIN** issued by the Commissioner General
- Names and addresses must match VAT registration records exactly
- Invoice date and date of supply
- **A prescribed serial number format**
- Telephone numbers are now optional (previously mandatory)

This is roughly two weeks away as of writing. That urgency is a gift for a hackathon pitch.

1.6 State of the technology

Lower than the announcements imply.

- RAMIS was introduced around 2016 and suffered **severe technical glitches and low adoption**; as of early 2024 it was described as a failure, with trade union resistance.
- The 2026 programme prioritises **RAMIS 3.5** for automation, analytics and data-driven auditing, funded from a Rs. 25.5bn digital economy allocation, plus Rs. 2bn for a new IRD headquarters.
- From **January 2026**, RAMIS supports a **risk-based audit selection system** intended to limit officer discretion and reduce corruption.
- Officials have signalled the direction of travel: real-time data to enable **risk scoring, cross-tax matching and enforcement**, following the Brazil / Mexico / China model of e-invoicing-driven administration.
- A unified data-sharing gateway between **Customs, IRD and Excise** is under discussion, aimed at detecting trade mis-invoicing.
- The IRD had reached **61% of its Rs. 2,402bn 2026 revenue target** as of August 2026, with collection up ~16% year on year.

Much of the reform is IMF-driven under the **Medium-Term Revenue Strategy (MTRS)**.

Part 2 — The pain points worth solving

Ranked by how real and how well-evidenced they are.

P1 — Post-SVAT liquidity crunch

Exporters now fund 18% upfront and wait. Industry bodies report pre-SVAT refund delays of **3-6 months or longer** against a ~30-day norm in fully digitised economies, with firms borrowing at high interest to bridge the gap. The rubber sector warned the burden cascades down to smallholder farmers and SMEs through delayed payments and eroded farmgate prices. Business chambers took the removal to court over the absence of a proven refund mechanism.

P2 — Risk-rating opacity

The IRD has **not confirmed whether risk classification is automated or manual**. Taxpayers argue they have a right to know their rating, that it should be based on objective automated criteria, and that discretionary decisions invite bias. Knowing your band lets you take corrective action and plan finances.

This is the single clearest unmet need in the entire landscape.

P3 — Reconciliation whiplash

Purchasers must now validate supplier-pushed schedule records against their own ledgers before claiming input tax. Nobody in Sri Lanka was doing this job 12 months ago.

Combined with the 12/24-month credit deadlines, mistakes here permanently destroy money.

P4 — The un-ERP'd majority

API integration presumes an upgraded ERP system. Most Sri Lankan SMEs don't have one, and the phased rollout structurally excludes them until someone builds a bridge.

P5 — Rule volatility and information decay

Invoice format deferred three times. Digital services VAT deferred twice. Threshold proposed, then dropped. Even professional commentary is out of date. Businesses genuinely cannot tell what applies to them on a given date.

P6 — Fraudulent input tax credits

Parliament's Committee on Ways and Means flagged uncollectible dues and fraudulent input tax credit claims as critical areas requiring technological reform. Note the historical irony: SVAT itself was created in response to a major VAT fraud scandal in the early 2000s.

P7 — POS-era rigidity

Under real-time API locking, transactions can't be edited or deleted on the billing dashboard — corrections must run through formal system-generated credit and debit notes. Retailers on legacy or manual systems are structurally unprepared.

Part 3 — AI opportunities

Tier 1 — Build one of these

A. Input tax reconciliation agent

Solves: P3, P1

Ingest a company's purchase ledger plus a simulated RAMIS Schedule 01 feed. Fuzzy-match on TIN + invoice number + amount + date. Surface:

- Unmatched invoices (supplier claims a sale you have no record of, or vice versa)
- Suspected duplicates
- Input credits approaching the 12-month / 24-month expiry cliff

Why it's wow-worthy: the demo line writes itself — *"Rs. 4.2M of input tax at risk of expiring in 60 days."* Judges immediately understand the money.

Build shape: LLM or embedding model handles messy entity resolution (same supplier, six spellings, three address formats); deterministic logic handles dates, arithmetic and the expiry rules. Don't let the model do maths.

Effort: Medium. Highest real-world value on this list.

B. Invoice compliance validator for Gazette 2481/22

Solves: P5, P7, and the 1 October deadline

Phone photo or PDF in → vision model extracts fields → rule engine checks the mandatory set (9-digit TINs both sides, names/addresses matching registration records, TAX INVOICE header, invoice and supply dates, prescribed serial format) → pass/fail with specific fixes → outputs a RAMIS-ready schedule row.

Why it's wow-worthy: works on a photo of a real shop invoice, in the room, in seconds. And the mandate lands in two weeks.

Build shape: any capable vision model for extraction, JSON schema for the field spec, deterministic validator. Add a confidence score per field.

Effort: Low-medium. Best effort-to-impact ratio here.

C. Explainable refund risk scorer

Solves: P2, P1

Train on synthetic taxpayer histories using features that map to what the IRD says it looks at — filing timeliness, payment lag, schedule mismatch rate, amendment frequency, zero-rated share of supplies. Output:

- Predicted risk band (low / medium / high)
- Plain-language explanation of the drivers
- Ranked “fix these three things to move up a band”
- Refund-date forecast feeding a cash-flow chart

Why it's wow-worthy: it answers a grievance the industry has stated publicly and the IRD has not addressed.

Critical framing: you **cannot** replicate an algorithm that has never been published. Present this as a *transparency and estimation* tool that models likely behaviour from stated criteria. If you claim it reproduces IRD's actual scoring, you will be taken apart in Q&A. Put the disclaimer on the slide, not just in your notes.

Effort: Medium. Gradient boosting + SHAP for explanations is plenty; you don't need a neural net.

Tier 2 — Good, slightly riskier

D. Date-aware RAG advisor over IRD gazettes and notices

Solves: P5

A plain tax chatbot is a yawn in 2026. What isn't: **temporal reasoning**. Store each provision with effective-date metadata and answer date-qualified questions with citations.

Killer test cases:

- “I imported fabric in March 2026 and sold it in June. What rate?” — requires knowing fabric became 18% VAT-able from 1 April 2026, with a transitional exemption where CESS was paid at import before that date.

- “*What’s the registration threshold?*” — the model should cite Act No. 14 of 2026 (60M) over the Budget proposal (36M). Demo this live; it proves the system beats Google.
- “*When does the new invoice format apply?*” — should surface 1 October 2026, not the two superseded dates.

Effort: Medium. The corpus curation is the work, not the retrieval.

E. Conversational e-invoicing bridge for SMEs

Solves: P4

WhatsApp or a lightweight PWA. A shop owner describes or photographs a sale in Sinhala, Tamil or English. The model structures it, generates a compliant invoice, and queues schedule rows for eventual submission.

Why it’s wow-worthy: multilingual demo, and it targets exactly the population the API rollout structurally excludes. Strong social-impact narrative.

Effort: Medium-high if you build real messaging integration. Mock the transport layer and focus on the extraction and generation.

Tier 3 — Impressive but data-hungry

F. Graph-based fraud detection

Solves: P6

Build a synthetic transaction network and detect circular trading, missing-trader patterns, phantom suppliers. The visualisation is spectacular.

The credibility problem: you’re detecting fraud you generated yourself. A sharp judge will ask how you know the patterns are realistic. Only attempt this if someone on the team has graph ML experience and can speak to real typologies.

G. Customs ↔ VAT cross-check for trade mis-invoicing

Conceptually strong and aligned with the IRD’s stated direction, but there is no public access to either dataset. Not a hackathon project.

Part 4 — Feasibility and data

What data actually exists

Source	Availability	Notes
RAMIS Web API sandbox	Not verified to exist publicly	Assume you won't get one. Do not build a demo that depends on it.
IRD gazettes, notices, circulars	Public	ird.gov.lk publishes these directly. Good RAG corpus.
Tax invoice specimen (Gazette 2481/22)	Public	Your field spec for the validator.
VAT return and schedule CSV templates	Public via RAMIS e-Services	Gives you the real column structure.
Central Bank / Dept. of Census & Statistics	Public	Aggregates only — useful for context slides, not transactions.
Real transaction data	No	See warning below.

Synthetic data strategy

Generate everything transactional yourself, using the **real schedule field structure** from the public templates. An LLM will produce a few thousand plausible invoice rows with realistic supplier names, TIN formats, and deliberately seeded errors (mismatched TINs, duplicate invoice numbers, near-expiry credits) in minutes.

Say openly in the demo that it's synthetic. Judges respect that far more than a vague claim of “real data” that collapses under one question.

Two hard warnings

1. **Do not demo with real invoices from a real company.** You'd be putting someone's TIN, turnover and counterparties on a screen in a public room. If a team member's family business offers their books, still don't — or redact thoroughly and get written permission.
2. **Do not build on the 36M threshold.** It was dropped before enactment.

Scope discipline

Pick **one** Tier 1 idea. A polished single-purpose tool beats three half-working ones every time. If you finish early, add the Tier 2 RAG advisor as a second tab — it shares no infrastructure, so it can't break the main build.

Part 5 — Recommendation

Build A + C as one product: a post-SVAT refund and reconciliation cockpit for exporters.

Why this combination:

- It targets the pain point every Sri Lankan judge has heard complaints about this year
- The reconciliation problem is **genuinely new as of 2026** — you're not rebuilding something that already exists
- Both halves are buildable in a weekend by a team comfortable with fuzzy matching and a scoring model
- The two halves reinforce each other: reconciliation quality feeds the risk score, and the risk score explains the refund timeline
- The demo has a number in it. *"This company is sitting on Rs. 4.2M of recoverable input tax, is rated medium risk because of three fixable behaviours, and can expect refund on 14 November."*

Fallback if the team is smaller or less experienced: build B alone. The invoice validator is the lowest-risk path to a working, visually satisfying demo, and the 1 October deadline gives it urgency nothing else on the list has.

Appendix — Verification checklist before demo day

- ☐ Re-check ird.gov.lk for notices issued after 14 September 2026
- ☐ Confirm the 1 October 2026 invoice format date hasn't been deferred a fourth time
- ☐ Confirm the LKR 60M threshold still stands
- ☐ Confirm the 20.5% financial services rate
- ☐ Check whether the IRD has published anything further on risk-rating methodology
- ☐ Check whether any public e-invoicing API documentation has been released
- ☐ Screenshot your sources — rules here change faster than slide decks

Appendix — Key sources

Primary (IRD)

- IRD notice SEC/PN/VAT/2026-03 (3 July 2026) — VAT (Amendment) Act No. 14 of 2026 summary, threshold retention, e-invoicing status
- IRD notice PN/VAT/2026-04/1 (8 April 2026) — fabric VAT
- IRD notices PN/SVAT/2025-01 and 2025-02 (22 Sept 2025) — SVAT abolition and RBRS
- Gazette Extraordinary 2481/22 (27 March 2026) — tax invoice format
- Gazette Extraordinary 2500/106 (6 August 2026) — deferral to 1 October 2026
- Circular SEC/2026/E/03 (20 May 2026) — invoice format guidance

Professional commentary

- KPMG Sri Lanka tax flash notes (SVAT transition, Act No. 14 of 2026, fabric VAT)
- Daily FT, “SVAT to risk-based refunds: Turning point in Sri Lanka’s tax policy”
- Thomson Reuters / Pagero Sri Lanka regulatory updates
- VATupdate and Global VAT Compliance country coverage

Industry and press

- EconomyNext — Shippers’ Council and SLAMERP statements on SVAT removal
- The Morning — National Chamber of Exporters statement
- Sunday Times Business Times — RAMIS 3.5 overhaul (25 Jan 2026); digital enforcement (23 Aug 2026)
- News 1st — SVAT abolition and risk-band mechanics

Sources accessed 14 September 2026. Effective dates in Sri Lankan VAT have changed repeatedly; treat everything here as a snapshot.